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Today's economic developments and market movements.



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Key themes:

- Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.
- Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.
- US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.
- The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.
- Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

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